# PRIVATE MOTOR CAR POLICY

Whereas the Insured by a proposal and declaration which shall be the basis of this contract and is deemed to be incorporated herein has applied to the Company for the insurance hereinafter contained
and has paid or agreed to pay the Premium as consideration for such insurance.
Now this Policy witnesseth that in respect of events occurring during the Period of Insurance and subject to the terms exceptions and conditions contained herein or endorsed hereon (hereinafter collectively referred to as the Terms of this Policy)

## SECTION I – INSURANCE ON THE MOTOR VEHICLE

**Loss or Damage**

1. The Company will indemnify the Insured against loss of or damage to the Motor Vehicle and its accessories and spare parts whilst thereon
   At its own option the Company may pay in cash the amount of the loss or damage or may repair reinstate or replace the Motor Vehicle or any part thereof or its accessories or spare parts
   The liability of the Company shall not exceed the value of the parts lost or damaged and the reasonable cost of fitting such parts it being understood that the Company's liability shall be limited to
   the reasonable market value of the Motor Vehicle at the time of the loss or damage but not exceeding the Insured's estimate of value stated in the Schedule.
   In the event of loss of or damage to the Motor Vehicle and/or its accessories necessitating the supply of a part not obtainable from stocks held in the Geographical Area in which the Motor
   Vehicle is held for repair or in the event of the Company exercising the option to pay in cash the amount of the loss or damage the liability of the Company in respect of any such part shall be limited to
   (a) (i) the price quoted in the latest catalogue or price list issued by the Manufacturer or his Agents for the country in which the Motor Vehicle is held for repair or
   (ii) if no such catalogue or price list exists the price last obtaining at the Manufacturer's Works plus the reasonable cost of transport otherwise than by air to the country in which
   the Motor Vehicle is held for repair and the amount of the relative import duty and
   (b) the reasonable cost of fitting such part.

**Limitation to Fire and Theft**

2. If the Policy cover is stated in the Schedule to be "Third Party Fire and Theft" the Company shall be liable under this Section solely for loss or damage resulting from fire self-ignition lightning explosion theft or attempted theft

**Hire Purchase Agreement or Mortgage**

3. If the Company knows the Motor Vehicle is the subject of a hire purchase agreement or a bill of sale by way of mortgage any payment in cash shall be made to the owner described in the hire purchase agreement or to the mortgagee described in the bill of sale whose receipt shall be a full and final discharge to the Company in respect of such loss or damage

**Protection and Removal after Accident**

4. If the Motor Vehicle is disabled by reason of loss or damage insured under this Policy the Company will subject to the Limits of Liability bear the reasonable cost of protection and removal to the nearest repairers and of delivery within the country where the loss or damage was sustained

**Authority to Repair**

5. The insured may authorise the repair of the Motor Vehicle necessitated by damage for which the Company may be liable under this Policy provided that
   (a) the estimated cost of such repair does not exceed the Authorised Repair Limit
   (b) a detailed estimate of the cost is forwarded to the Company without delay

## EXCEPTIONS TO SECTION I

The Company shall not liable to pay for
(a) consequential loss
(b) depreciation wear and tear mechanical or electrical breakdowns failures or breakages
(c) damage to tyres unless damage is caused to other parts of the Motor Vehicle at the same time
(d) any excess provided for in this Policy

## COMPULSORY EXCESSES APPLICABLE TO SECTION I

Subject to other terms of this policy and the Excess referred in the Schedule hereto, the Company shall not be liable for the first amount indicated below (or any less expenditure which may be incurred) being the first part of any expenditure for which provision is made under Section I of the Policy in respect of each and every event occurring

**Unnamed Drivers**

1. whilst the Motor Vehicle is being driven by any person other than a driver named in the Schedule…...……$2,000

**Parking and Theft**

2. (a) whilst the Motor Vehicle is parked or
   (b)as a result of theft or attempted theft …….. …….……$2,000

**Young and Inexperienced Drivers**

3. whilst the Motor Vehicle is being driven by or is for the purpose of being driven by him in the charge of any person who
   (a) is under 25 years of age
   (b) is the holder of a provisional driving licence or
   (c) has not held for a period of 2 years a driving licence other than provisional driving licence…….. $10,000

If the expenditure incurred by the Company shall include the amount for which the Insured is responsible hereby such amount shall be repaid by the Insured to the Company forthwith
For the purposes of this Clause the expression "event" shall mean an event or series of events arising out of one cause in connection with the Motor Vehicle
The Excess referred to in paragraph 1 is cumulative with the Excess referred to in paragraph 3 but otherwise the Excesses are not cumulative with each other

## Section II – LIABILITY TO THIRD PARTIES

**Indemnity to the Insured**

1. The Company will subject to the Limits of Liability and the Jurisdiction Clause indemnify the Insured against all sums including claimant's costs and expenses which the Insured shall become legally liable to pay in respect of
   (a) death of or bodily injury to any person
   (b) damage to property

where such death or injury or damage arises out of an accident caused by or in connection with The Motor Vehicle or the loading or unloading of the Motor Vehicle

**Indemnity to other persons**

2. The Company will subject to the Limits of Liability and the Jurisdiction Clause indemnify any Authorised Driver or at the request of the Insured any person (other than the person driving) in or getting into or out of the Motor Vehicle against all sums including claimant's costs and expenses which such Authorised Driver or person shall become legally liable to pay in respect of
   (a) death of or bodily injury to any person
   (b) damage to property

where such death or injury or damage arises out of an accident caused by or in connection with the Motor Vehicle or the loading or unloading of the Motor Vehicle

**Indemnity to Legal Representatives**

3. In the event of the death of any person entitled to indemnity under this Section the Company will in respect of the liability incurred by such person indemnify his legal personal representatives in the terms and subject to the limitations which applied to such person

**Application of Limits of Liability**

4. In the event of an accident involving indemnity under this Section to more than one person the Limits of Liability shall apply to the aggregate amount of indemnity to all persons indemnified and such indemnity shall apply in priority to the Insured

**Representation and Defence**

5. The Company may at its own option
   - (a) arrange for representation at any inquest or fatal inquiry in respect of any death which may be the subject of indemnity under this Section
   - (b) undertake the defence of proceedings in any court of law in respect of any act or alleged offence causing or relating to any event which may be the subject of indemnity under this Section

**Expenses**

6. The Company will pay all costs and expenses incurred with its written consent

JURISDICTION CLAUSE

The indemnity under Section II shall not apply in respect of judgments which are not in the first instance delivered by or obtained from a Court of competent jurisdiction within the Geographical Area

**EXCEPTIONS TO SECTION II**

The Company shall not be liable

(a) Under sub-section 2 or 3 to indemnify any person
   - (i) unless such person shall observe fulfil and be subject to the Terms of this Policy in so far as they can apply
   - (ii) if such person is entitled to indemnity under any other policy

(b) in respect of death of or bodily injury to any person arising out of and in the course of such person's employment by
   - (i) the Insured
   - (ii) a person claiming to be indemnified under this Section
   - (iii) the employer of a person claiming to be indemnified under this Section

(c) in respect of death or bodily injury or damage caused or arising beyond the limits of any carriageway or thoroughfare in connection with the bringing of the load to the Motor Vehicle for loading thereon or the taking away of the load from the Motor Vehicle after unloading therefrom

(d) in respect of damage to property belonging to or held in trust by or in the custody or control of
   - (i) the Insured or
   - (ii) any person claiming to be indemnified under sub-section 2 or
   - (iii) a member of the same household as the Insured or of the same household as any person claiming to be indemnified under sub-section 2

**AVOIDANCE OF CERTAIN TERMS AND RIGHT OF RECOVERY**

If the Company is obliged by the law of any country within the Geographical Area or by virtue of any Agreement between Government and the Motor Insurers Bureau of Hong Kong to pay an amount for which the Company would not otherwise be liable under this Policy the Insured shall repay the amount to the Company

**SECTION III – MEDICAL EXPENSES**

The Company will subject to the Limits of Liability pay to the Insured the reasonable medical expenses incurred in connection with any bodily injury by violent accidental external and visible means sustained by the Insured or Authorised Driver or any occupant of the Motor Vehicle as the direct and immediate result of an accident to the Motor Vehicle

NO CLAIM DISCOUNT

In the event of no claim being made or arising under this Policy during a period of insurance specified below immediately preceding the renewal of the Policy the renewal premium shall be reduced as follows

| *Period of Insurance* | *Reduction* |
|---|---|
| The preceding year | 10% |
| The preceding two consecutive years | 20% |
| The preceding three consecutive years | 30% |
| The preceding four consecutive years | 40% |
| The preceding five consecutive years | 50% |
| The preceding six or more years | 60% |

Notwithstanding a single claim being made or arising under this Policy during a period of insurance for which the premium is based on a 50% or 60% reduction the Insured shall at the next renewal be deemed to have been claims free for the preceding two consecutive year or the preceding three consecutive years respectively

If the Company shall consent to a transfer of interest in this Policy the period during which the interest was in the transferor shall not accrue to the benefit of the transferee

If more than one Motor Vehicle is described in the Schedule the No Claim Discount shall be applied as if a separate Policy had been issued in respect of each such Motor Vehicle

GENERAL EXCEPTIONS

The Company shall not be liable in respect of

1. any accident loss damage or liability caused sustained or incurred
   - (a) outside the Geographical Area
   - (b) whilst on the Insured's order or with his permission or to his knowledge any motor vehicle in respect of which indemnity is provided by this Policy is
     - (i) being used otherwise than in accordance with the Limitations as to Use
     - (ii) being driven by any person other than an Authorised Driver or is for the purpose of being driven by him in the charge of such person
2. any accident loss damage or liability (except so far as is necessary to meet the requirements of the Motor Vehicles Insurance (Third Party Risks) Ordinance) directly or indirectly proximately or remotely occasioned by contributed to by or traceable to or arising out of or in connection with
   - (a) war invasion act of foreign enemy hostilities or warlike operations (whether war be declared or not) civil war mutiny rebellion revolution insurrection military or usurped power
   - (b) strike riot civil commotion
   - (c) detention seizure confiscation or any attempt thereat

   or by any direct or indirect consequences of any of the said occurrences and in the event of any claim hereunder the person claiming to be indemnified shall prove that the accident loss damage

   or liability arose independently of and was in no way connected with or occasioned by or contributed to by or traceable to any of the said occurrences or any consequence thereof and in default of such proof the Company shall not be liable to make any payment in respect of such a claim
3. any liability which attaches by virtue of an agreement but which would not have attached in the absence of such agreement
4. (a) any accident loss or damage to any property whatsoever or any loss or expense whatsoever resulting or arising therefrom or any consequential loss
   - (b) any liability of whatsoever nature

directly or indirectly caused by or contributed to by or arising from ionising radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel
For the purposes of this exception combustion shall include any self-sustaining process of nuclear fission

5. any accident loss damage or liability directly or indirectly caused by or contributed to by or arising form nuclear weapons material

The following wordings are being part of PRIVATE MOTOR CAR Policy: - (Please refer to the operative sections for details)

| Cover Applicable | Operative Sections | Compulsory Excesses |
|---|---|---|
| Comprehensive | Section I, II and III | as detailed in the Policy |
| ird Party Fire & Theft | Section I as amended by sub-section 2 and Section II | $2,000 in respect of theft or attempted theft |
| Third Party | Section II | Nil |

Limits of Liability : Limit of the amount of the Company's liability under
Section I – 4 (Protection and Removal)……..……...20% of the agreed cost of repairs
Section II – 1(a) and 2(a) (Liability to Third Parties – death or bodily injury) in respect of any one claim or series of claims arising out of one event……..$ 100,000,000
Section II – 1(b) and 2(b) (Liability to Third Parties – property damage) in respect of any one claim or series of claims arising out of on event…….....$ 2,000,000
Section III – (Medical Expenses) in respect of any one accident ……..…….……$ 2,000
Authorised Repair Limit: (Section 1 – 5(a))……..…….……..$1,000

**Geographical Area**: Hong Kong and the harbour limits for the purpose of transit by sea (including incidental loading or unloading)

**AUTHORISED DRIVER : (Please refer to the Schedule attached hereto)**

**PD1** Any of the following: --
(a)The Insured.
(b)Any other person who is driving on the Insured's order or with his permission.

**LIMITATION AS TO USE: (Please refer to the Schedule attached hereto)**

**LX1** Use only for social domestic and pleasure purposes and for the Policyholder's business or profession.
The Policy does not cover use for hire or reward racing pacemaking reliability trial speed testing nor use for any purpose in connection with the Motor Trade.

**LX16** Use only for social domestic and pleasure purposes and for the Policyholder's business or profession.
The Policy does not cover use for hire or reward other than for the purpose of tuition or of driving test by an examiner appointed by the Commissioner for Transport nor racing pacemaking reliability trial speed testing nor use for any purpose in connection with the Motor Trade.

**Clause / Endorsements attached to the policy:**

**HIRE PURCHASE ENDORSEMENT**

It is hereby understood and agreed that the "Hire Purchase Owner" shown on the Schedule (hereinafter referred to as the Owners) are the owners of the Motor car/vehicle and that the said Motor car/vehicle is the subject of Hire Purchase Agreement made between the Owners of the one part and the Insured of the other part, and it is further understood and agreed that the Owners are interested in any monies which but for this Endorsement would be payable to the Insured under this Policy in respect of loss of or damage to the said Motor car/vehicle (which loss or damage is not made good by repair, reinstatement or replacement) and such monies shall be paid to the Owners as long as they are the owners of the Motor car/vehicle and their receipt shall be a full and final discharge to the Company in respect of such loss or damage.

Save as by this Endorsement expressly agreed nothing herein shall modify or affect the rights or liabilities of the Insured or the Company respectively under or in connection with this Policy or any condition or term thereof.

Warranty :- Warranted no cover for loss or damage caused by theft of the 'Radio Call' or 'Radio-telephone' or 'Radio-cassette' insured under the Schedule of this Policy while the insured vehicle is left unattended without doors locked and windows securely fastened.

## CONDITIONS

**Interpretation**

1. This Policy and the Schedule shall be read together as one contract and any word or expression to which a specific meaning has been attached in any part of this Policy or of the Schedule shall bear such specific meaning wherever it may appear

**Insured's Duty**

2. The due observance and fulfillment of the Terms of this Policy in so far as they relate to anything to be done or not to be done by the Insured or any person claiming to be indemnified and the truth of the statements and answers in the proposal shall be conditions precedent to any liability of the Company to make any payment under this Policy

**Written Notice**

3. Every notice or communication to be given or made under this Policy shall be delivered in writing to the Company

**Care of Motor Vehicle**

4. The Insured shall take all reasonable steps to safeguard the Motor Vehicle from loss or damage and to maintain the Motor Vehicle in efficient condition and the Company shall have at all times free and full access to examine the Motor Vehicle or any part thereof or any driver or employee of the Insured. In the event of any accident or breakdown the Motor Vehicle shall not be left unattended without proper precautions being taken to prevent further loss or damage and if the Motor Vehicle be driven before the necessary repairs are effected any extension of the damage or any further damage to the Motor Vehicle shall be excluded from the scope of the indemnity granted by this Policy.

**Notification of Accidents**

5. In the event of any occurrence which may give rise to a claim under this Policy the Insured shall as soon as possible give notice thereof to the Company with full particulars Every letter claim writ summons and process shall be notified or forwarded to the Company immediately on receipt Notice shall also be given to the Company immediately the Insured or any person claiming to be indemnified shall have knowledge of any impending prosecution inquest or fatal inquiry in connection with any such occurrence In case of theft or other criminal act which may give rise to a claim under this Policy the Insured shall give immediate notice to the police and co-operate with the Company in securing the conviction of the offender

**Claims Procedure**

6. No admission offer promise or payment shall be made by or on behalf of the Insured or any person claiming to be indemnified without the written consent of the Company which shall be entitled if it so desires to take over the conduct in the name of the Insured or such person the defence or settlement of any claim or to prosecute in the name of the Insured or such person for its own benefit any claim for indemnity or damages or otherwise and shall have full discretion in the conduct of any proceedings and in the settlement of any claim and the Insured and such person shall give all such information and assistance as the Company may require

**Payment of Limits of Liability**

7. At any time after the happening of any event giving rise to a claim or series of claims under Section II – 1(b) and Section II – 2(b) of this Policy the Company may pay to the Insured or any person claiming to be indemnified the full amount of the Company's liability under Section II – 1(b) and Section II – 2(b) and relinquish the conduct of any defence settlement or proceedings and the Company shall not be responsible for any damage alleged to have been caused to the Insured or such person in consequence of any alleged action or omission of the Company in connection with such defence settlement or proceedings or of the Company relinquishing such conduct nor shall the Company be liable for

any costs or expenses whatsoever incurred by the Insured or such person or by any claimant or other person after the Company shall have relinquished such conduct

**Other Insurance**

8. If at the time any claim arises under this Policy there is any other insurance covering the same loss damage or liability the Company shall not be liable to pay or contribute more than its ratable proportion of any loss damage compensation costs or expenses Provided always that nothing in this Condition shall impose on the Company any liability from which but for this Condition it would have been relieved under Exception (a) (ii) to Section II of this Policy

**Cancellation**

9. The Company may cancel this Policy by sending seven days' notice by registered letter to the Insured at his last known address and in such event will return to the Insured the premium paid less the pro rata portion thereof for the time during the current Period of Insurance the Policy has been in force or the Policy may be cancelled at any time by the Insured on seven days' notice and (provided no claim has arisen during the current Period of Insurance and the current Certificate(s) of Insurance has been returned to the Company on or before the date of cancellation) the Insured shall be entitled to the difference (if any) between the premium paid and the premium calculated at the Company's Short Period rates for the time during the current Period of Insurance the Policy has been in force

**Arbitration**

10. All differences arising out of this Policy shall be referred to the decision of an Arbitrator to be appointed in writing by the parties in difference of if they cannot agree upon a single Arbitrator to the decision of two Arbitrators one to be appointed in writing by each of the parties within one calendar month after having been required in writing so to do by either of the parties or in case the Arbitrators do not agree of an Umpire appointed in writing by the Arbitrators before entering upon the reference The Umpire shall sit with the Arbitrators and preside at their meetings and the making of an Award shall be a condition precedent to any right of action against the Company If the Company shall disclaim liability for any claim hereunder and such claim shall not within twelve calendar months from the date of such disclaimer have been referred to arbitration under the provisions herein contained then the claim shall for all purposes be deemed to have been abandoned and shall not thereafter be recoverable hereunder.

**About《 Contracts (Rights of Third Parties) Ordinance》**

11. Any person or entity who is not a party to this Policy shall have no rights under the Contracts (Rights of Third Parties) Ordinance (Cap 623 of the Laws of Hong Kong) to enforce any terms of this Policy.

## CLAUSES AND ENDORSEMENTS
**(so far as applicable)**

**MA97(a): Sanction Limitation and Exclusion Clause**

The Company shall not be deemed to provide cover and shall not be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose the Company to the risk of any sanction, prohibition or restriction under United Nations resolutions or trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

**MA41: Terrorism Exclusion Endorsement**

Notwithstanding any provision to the contrary within this Policy or any endorsement thereto, it is agreed that this Policy excludes loss, damage, liability, cost or expense of whatsoever nature, directly or indirectly caused by, resulting from or in connection with any act of terrorism regardless of any other cause or event contributing concurrently or in any other sequence to the loss.

It is also agreed that, regardless of any contributory causes, this Policy does not cover any loss, damage, liability, cost or expense directly or indirectly arising out of
a) Biological or chemical contamination

b) Missiles, bombs, grenades, explosives
due to any act of terrorism.

For the purpose of this endorsement:
1. an "act of terrorism" means an act, including but not limited to the use of force or violence and/or the threat thereof, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organization(s) or government(s), committed for political, religious, ideological, or similar purposes or reasons including the intention to influence any government and/or to put the public, or any section of the public, in fear;

2. a "contamination" means the contamination, poisoning, or prevention and/or limitation of the use of objects due to the effects of chemical and/or biological substances.

This endorsement also excludes loss, damage, liability, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to any act of terrorism.

If the Company alleges that by reason of this exclusion, any loss, damage, liability, cost or expense is not covered by this Policy the burden of proving the contrary shall be upon the Insured.

In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

**MA58(a): Driving Under the Influence of Drink or Drugs Exclusion**

The Company will not be liable under this Policy in respect of any accident, loss, damage or liability caused, sustained or incurred whilst the Motor Vehicle is being driven by, or is in the charge of, or is under the control of the Insured or Insured Driver:

a. who is convicted of an offence for being under the influence of (i)drink or (ii) specified illicit drug as specified in Schedule 1A of the Road Traffic Ordinance (Cap.374) as may be amended from time to time or any legislation which replaced the same or (iii) drug other than the said specified illicit drug to such an extent as to be incapable of having proper control of the Motor Vehicle;

b. when the proportion of alcohol in his/her breath, blood or urine exceeds the prescribed limit as stipulated in Section 2 of the Road Traffic Ordinance (Cap. 374) as may be amended from time to time or any legislation which replaces the same;

c. who is convicted of an offence for failing, without reasonable excuse, to provide a specimen of breath, blood, or urine for testing or analysis as required by law;

d. who is convicted of an offence for any concentration in his/her blood or urine of a specified illicit drug as specified in Schedule 1A of the Road Traffic Ordinance (Cap.374) as may be amended from time to time or any legislation which replaced the same (whether or not any other drug is also so present); and

e. who is convicted of an offence for failing, without reasonable excuse, to undergo preliminary drug test under Section 39O of the Road Traffic Ordinance (Cap.374) as may be amended from time to time or any legislation which replaced the same (whether or not any other drug is also so present).

**MA03: Third Party Property Damage Excess**

It is hereby noted and agreed that the Company shall not be liable for the First Excess (referred in the schedule) in respect of any one claim or series of claims arising out of one event under Section II – 1(b) and 2(b) (Liability to Third Party-Property Damage) of this Policy.

**MA14H: Young and Inexperienced Driver Excess (Applicable to Third Parties Liability – Damage to Property)**
It is hereby noted and agreed that the Company shall not be liable for the first amount indicated below being the first part of any expenditure for which provision is made under Section II-1(b) and 2(b) (Liability to Third Parties – Damage to Property) of this Policy in respect of each and every event occurring whilst the Motor Vehicle is being driven by the authorized driver or is for the purpose of being driven by him in the charge of any person who

(a) is under 25 years of age ----------(referred in the schedule)

(b) is the holder of a provisional driving licence or has not held for a period of 2 years a driving licence other than a provisional driving licence ----------(referred in the schedule)
(This excess for (a) and (b) is cumulative with each other)

This Endorsement shall be in addition to any other amount for which the Company shall not be liable under the Terms of this Policy.

Subject otherwise to the terms, exceptions and conditions of this Policy.

**MA01(Private Car): Exclusion Clause**
In addition to the terms and conditions contained in the Policy, the Policy does not cover the vehicles used within the restricted area of airport(s).